
ECONOMICS

Paper 4 A Level Data Response and Essays

Practice Paper 2026

MARK SCHEME

Maximum Mark: 60

(Advanced Level)

This document consists of 14 printed pages.

Generic Marking Principles

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with the specific content of the mark scheme or the generic level descriptors, the specific skills defined in the mark scheme, and the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always whole marks (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded positively: marks are awarded for correct/valid answers. Marks are not deducted for errors or omissions. Credit is given for valid answers which go beyond the scope of the syllabus and mark scheme.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme for the question.

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

Assessment objectives

AO1 Knowledge and understanding

- Show knowledge of syllabus content, recalling facts, formulae and definitions.
- Demonstrate understanding of syllabus content, giving appropriate explanations and examples.
- Apply knowledge and understanding to economic information using written, numerical and diagrammatic forms.

AO2 Analysis

- Examine economic issues and relationships, using relevant economic concepts, theories and information.
- Select, interpret and organise economic information in written, numerical and diagrammatic form.
- Use economic information to recognise patterns, relationships, causes and effects.
- Explain the impacts and consequences of changes in economic variables.

AO3 Evaluation

- Recognise assumptions and limitations of economic information and models.
- Assess economic information and the strengths and weaknesses of arguments.
- Recognise that some economic decisions involve consideration of factors such as priorities and value judgements.
- Communicate reasoned judgements, conclusions and decisions, based on the arguments.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table to give marks for each candidate response for AO1 Knowledge and understanding and AO2 Analysis for Questions 2, 3, 4 and 5.

Level	Description	Marks
3	- A detailed knowledge and understanding of relevant economic concepts is included, using relevant explanations supported by appropriate examples. - The response clearly addresses the requirements of the question and explains economic issues, and fully develops analysis. - Analysis is developed and detailed and makes accurate and relevant use of economic concepts and theories. Where appropriate, relevant diagrams and formulae are used. - Responses are well-organised, well-focused and presented in a logical and coherent manner.	6–7
2	- Knowledge and understanding of some relevant economic concepts is included, using explanations and examples to support the response. - The response addresses the general theme of the question with limited development. - Analysis is generally accurate with some development but little detail. Use of analytical tools is partially accurate or incomplete. - Responses are generally logical and coherent but are sometimes lacking in focus or organisation.	4–5
1	- A small number of relevant knowledge points are included and the response is limited by significant errors or omissions. - The response has little relevance to the question. - Analysis where provided is largely descriptive. Use of analytical tools such as diagrams and formulae, where necessary, is limited. - Responses show limited organisation of economic ideas.	1–3
0	No creditable response.	0

Table B: AO3 Evaluation

Use this table to give marks for each candidate response for AO3 Evaluation for Questions 2, 3, 4 and 5.

Level	Description	Marks
2	- Provides a justified conclusion or judgement that addresses the specific requirements of the question. - Makes developed, reasoned and well-supported evaluative comment(s).	4–5
1	- Provides a vague or general conclusion or judgement in relation to the question. - Makes simple evaluative comment(s) with no development and little supporting evidence.	1–3
0	No creditable response.	0

Question	Answer	Marks
1(a)	Explain the significance of a consumer price index (CPI) for measuring changes in the cost of living. CPI is a weighted average of prices of a basket of consumer goods and services purchased by a typical household (1). It is used to measure changes in the general price level / rate of inflation over time (1). Allows comparison of cost of living over time / between time periods (1). Used to index wages, pensions and welfare payments (1). <i>Award up to 3 marks.</i>	3

Question	Answer	Marks
1(b)	Explain one possible benefit of a government subsidy and one possible drawback of a government subsidy. Benefit (1) + Development (1): e.g. lowers the price for consumers and increases consumption of merit goods; encourages production of socially beneficial goods (e.g. renewables); corrects positive externalities; supports infant industries; protects employment in priority sectors. Drawback (1) + Development (1): e.g. opportunity cost of government spending; risk of producer dependency and reduced cost discipline; possible misallocation of resources if subsidies favour inefficient firms; financed through taxation creating distortions; difficult to remove once entrenched. <i>Max 2 marks for benefit; Max 2 marks for drawback.</i>	4

Question	Answer	Marks
1(c)	Describe how the market structure of wind turbine manufacturing is likely to differ from the market structure of regional electricity supply to households. Wind turbine manufacturing: oligopoly (1) — few large firms (three account for over 80%) (1), high barriers to entry / large capital and R&D requirements (1), product differentiation through branding and technology (1), interdependent decision-making (1), potential abnormal profit in long run (1). <i>Max 3 marks.</i> Regional electricity supply: monopolistic competition / local monopoly elements (1) — around 1300 firms competing for retail customers (1), differentiated through tariff structure, green credentials and customer service (1), some barriers to entry due to infrastructure (1), four largest control 40% suggesting some concentration but still many sellers (1). <i>Max 3 marks. Accept argument for oligopoly with four-firm concentration around 40%.</i> <i>Market structure must be correctly identified to earn explanation marks.</i>	6

Question	Answer	Marks
1(d)	Use the article to evaluate the impact of the renewable energy transition on economic welfare in Germany. Definition of economic welfare: reference to consumer surplus, producer surplus, externalities, and broader social well-being (1) (1). <i>Max 2.</i> Data interpretation (Max 4): Positive welfare effects: renewable share rose from 6.3% to 52% (1); CO₂ emissions fell 46% / from 375 to 203 Mt (1); 380000 jobs supported, far higher than the 20000 in lignite (1); reduction in negative externalities (1). <i>Max 2.</i> Negative welfare effects: retail electricity price tripled from €0.14 to €0.43 per kWh (1); reduced international competitiveness, with firms relocating (1); German solar manufacturing largely lost to imports (1); average GDP growth of 1.1% below EU average of 1.6% (1). <i>Max 2.</i> Conclusion (1): Welfare effects are mixed; the environmental benefits and net employment gains support the transition, but high electricity costs have transferred welfare from households and energy-intensive producers. A fuller assessment requires data on distribution of effects and long-run abatement costs.	7

Section B

Question	Answer	Marks
2	Evaluate, with the help of diagram(s), the use of price discrimination by firms as a means of increasing profit. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definition of price discrimination: charging different prices to different consumers for the same good where the price difference is not due to cost. • Three conditions: price-setting power, ability to separate markets, ability to prevent resale, different PEDs. • Degrees of price discrimination (1st, 2nd, 3rd). • Diagram: two sub-markets with different PEDs, $MR=MC$ condition in each. Higher price charged in market with more inelastic demand. • Comparison of profit with and without discrimination — area showing additional producer surplus. • Examples: airline tickets, cinema concessions, train fares (peak/off-peak), academic journal subscriptions. • Effect on consumer surplus — transfer from consumers to producers. AO3 Evaluation (out of 6) • Conditions may break down — arbitrage between markets is possible (especially with secondary markets and resale). • Administrative costs of segmenting markets may erode profit gains. • Loss of consumer surplus in inelastic markets harms welfare and may attract regulatory attention. • However, can enable provision to lower-income consumers (e.g. student/senior discounts) and fund fixed costs in industries with high overheads. • Cross-subsidisation may allow socially desirable services to continue (off-peak rail). • Reasoned conclusion: discrimination increases profit when conditions hold but its welfare effects depend on the market and degree applied. <i>Accept all valid responses.</i>	20

Question	Answer	Marks
3	Assess whether the theory of contestable markets is more useful than traditional models of market structure in explaining firms' behaviour. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definition of a contestable market: low/zero barriers to entry and exit, "hit-and-run" entry possible. • Perfectly contestable market features sunk costs of zero. • Traditional structures: perfect competition, monopolistic competition, oligopoly, monopoly — each characterised by number of firms, barriers, product differentiation and profit outcomes. • Contestable markets predict normal profits even with few firms because the <i>threat</i> of entry constrains incumbents. • Diagram: contestable market firm operating where $P = AC$ (long-run), compared with monopoly $P > AC$. • Application: airline routes after deregulation, online retailers facing potential entry from large platforms. AO3 Evaluation (out of 6) • Strength: explains why some concentrated markets behave competitively (e.g. budget airline routes). • Strength: focuses attention on policy levers such as removing entry barriers, rather than breaking up firms. • Weakness: perfectly contestable conditions are rare — most real markets have non-trivial sunk costs. • Incumbents can deter entry through limit pricing, predatory pricing or brand loyalty. • Traditional models remain useful for explaining short-run behaviour, collusion, and dynamic efficiency from monopoly profits. • Reasoned conclusion: contestability theory complements rather than replaces traditional models; its usefulness depends on the industry analysed. <i>Accept all valid responses.</i>	20

Section C

Question	Answer	Marks
4	Evaluate the effectiveness of monetary policy as the principal means by which a central bank can control the rate of inflation. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definition of monetary policy: central bank manipulation of interest rates, money supply and exchange rates to influence AD. • Definition and causes of inflation: demand-pull ($AD > AS$ at full employment) and cost-push (rising costs of production). • Transmission mechanism: interest rate $\uparrow \rightarrow$ cost of borrowing $\uparrow$, saving $\uparrow \rightarrow$ consumption and investment $\downarrow \rightarrow AD \downarrow \rightarrow$ inflation $\downarrow$. • Asset prices, exchange rate, and expectation channels. • AD/AS diagram showing inward shift of AD reducing the price level. • Unconventional tools: quantitative easing/tightening, forward guidance, reserve requirements. • Inflation targeting regimes (e.g. 2% targets). AO3 Evaluation (out of 6) • Time lags (typically 18–24 months) — risk of over- or under-correction. • Ineffective against cost-push inflation caused by supply shocks (e.g. oil prices, supply-chain disruption). • At the zero lower bound, conventional rate cuts are exhausted (e.g. eurozone, Japan). • Asymmetric effects: monetary policy is more effective at restraining than stimulating demand ("pushing on a string"). • Distributional consequences — higher rates harm borrowers and may worsen inequality. • Independence and credibility of central bank affects expectations. • Need for coordination with fiscal and supply-side policy. • Reasoned conclusion: monetary policy is effective against demand-pull inflation but limited against supply-side inflation; should be one tool in a wider mix. <i>Accept all valid responses.</i>	20

Question	Answer	Marks
5	Evaluate the view that free international trade is always beneficial for low-income developing countries. AO1 Knowledge and understanding and AO2 Analysis (out of 14) • Definition of free trade and low-income developing country. • Theory of comparative advantage — example with a two-country/two-good model showing mutual gains from specialisation. • Benefits to LICs: – Access to larger markets, increased export earnings and growth. – Cheaper imports of capital goods, technology transfer. – Increased competition driving productive efficiency. – Inflow of FDI and integration into global value chains. • Costs to LICs: – Infant industries unable to compete with established foreign firms. – Volatility of primary commodity prices and Prebisch–Singer hypothesis (deteriorating terms of trade). – Structural unemployment as inefficient sectors decline. – Dependence on a narrow range of exports and on foreign demand. AO3 Evaluation (out of 6) • Asymmetric power in trade negotiations — LICs often face higher effective protection on processed goods than raw materials. • Historical experience: East-Asian "tigers" used selective protection alongside export promotion. • Importance of complementary policies — education, infrastructure, institutions — to capture gains from trade. • Distribution: gains often concentrated in coastal/urban areas, with rural producers losing out. • Environmental and social costs of integration. • Reasoned conclusion: free trade is potentially beneficial but not <i>always</i>; outcomes depend on sequencing, governance and the structure of the economy. <i>Accept all valid responses.</i>	20